

served their Notice of Belief of Abandonment. Defendants do not dispute that they entered into the Lease and Guaranty, but dispute Plaintiff's calculation of damages under Paragraph 26(b)(iv) of the Lease (Plaintiff's Exhibit 1) and Civ. Code § 1951.2. It is also undisputed that the premises remain unoccupied today.

In Reply, Plaintiff has now amended the amount it seeks by way of this action to a total of \$7,074,761.20 in damages, calculated as: (1) \$999,922.54 of past-due rent; (2) \$93,066.43 interest; and (3) \$5,981,772.32 present value of future rent at 4.75%. (Reply, p.12.)

Defendants attempt to create a triable issue of material fact by stating that Plaintiff's mitigation efforts were not economically reasonable, and offering the opinion of a real estate consultant, Joseph Harberg, who opines "that the Premises are readily capable of being relet during the remaining Lease term at a gross rental rate reasonably expected to equal or exceed the average LOOK contract rate" (Harberg Decl. Para. 18), but Harberg's declaration fails to *prove* that any rental loss could reasonably be avoided to establish an offset, as required by Civ. Code § 1951.2(c)(1).

Defendants have failed to raise a triable issue of material fact as to the calculation of damages. Grant the Motion for Summary Judgment.

3.

CASE #	CASE NAME	HEARING NAME
CVRI2601881	SMITH VS HYUNDAI MOTOR AMERICA.	MOTION TO COMPEL ARBITRATION BY HYUNDAI MOTOR AMERICA.

Tentative Ruling:

DENY the Motion to Compel Arbitration. GRANT Defendant's Request for Judicial Notice.

Defendant Hyundai Motor America (Hyundai) moves to compel arbitration of this lemon law action pursuant to two separate agreements: an express written warranty in the owner's handbook (the "Handbook") that accompanied the sale of the vehicle, and the Bluelink Connected Services Agreement (CSA). Both agreements contain an arbitration clause.

The motion fails because Hyundai cannot show the existence of a valid arbitration agreement. Specifically, Hyundai fails to establish mutual assent. There is no evidence that Plaintiff signed the relevant pages of the Handbook where the arbitration clause is found. There is no evidence that Plaintiff signed an acknowledgement of receipt of the Handbook. There is no evidence that the Handbook was even presented to Plaintiff. There is no declaration by a Hyundai representative stating that the Handbook was provided to Plaintiff, or that the Handbook is routinely provided to all Hyundai purchasers, or that the Warranty Handbook is even applicable to Plaintiff's vehicle. Hyundai's equitable estoppel argument also fails because Hyundai has failed to show that the Handbook is an enforceable contract. Hyundai also fails to meet its initial burden on the motion with respect to the arbitration clause under the CSA. Hyundai again fails to show mutual assent. There is nothing signed by Plaintiff in the CSA. Moreover, even assuming that there was mutual assent, the CSA is inapplicable because Plaintiff does not complain

of defects in the Bluelink services or Connected Services related to Bluelink in his Complaint.

4.

CASE #	CASE NAME	HEARING NAME
CVRI2602459	EDMUND VS MERCEDES-BENZ USA, LLC	MOTION TO COMPEL ARBITRATION BY MERCEDES- BENZ USA, LLC

Tentative Ruling:

GRANT the Motion to Compel Arbitration.

STAY the matter pending Arbitration. Set the matter for a Status Hearing-Post Arbitration on September 8, 2027, at 8:30am, D-4.

GRANT Plaintiff's Request for Judicial Notice. OVERRULE Plaintiff's evidentiary objections to the Declaration of Sybil S. Leung

Defendant Mercedes-Benz USA, LLC ("MBZ") moves to compel arbitration of this lemon law case pursuant to an Arbitration Agreement contained in the California Motor Vehicle Lease Agreement ("Lease Agreement") executed by and between Plaintiff and the Mercedes-Benz dealership, Walters Auto Sales and Service, Inc. Plaintiff argues that the Arbitration Agreement only applies to claims between the Plaintiff and the dealership, and not the manufacturer or distributor. But this case is not like the *Ford Motor Warranty Cases* (2025) 17 Cal.5th 1101 relied upon by Plaintiff. Here, MBZ is not an unnamed third party. **MBZ is an expressly named third party beneficiary under the arbitration agreement.** The claims covered by the Arbitration Agreement include those arising out of or relating to a credit application, the lease, or any resulting transaction or relationship arising out of the lease (including any such relationship with third parties who do not sign this contract). (Declaration of Sybil Leung, Exhibit 1, Important Arbitration Disclosures.) This broad language covers Plaintiff's Song-Beverly Act claims, which pertain to a transaction or relationship arising from the Lease. Because Defendant has established that MBZ was an intended third-party beneficiary under the lease, and the claims are covered by the Arbitration Agreement, the Motion to Compel Arbitration is Granted.